

External Audit

Source: <https://www.prarulebook.co.uk/prarules/external-audit/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:52

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies:

1. (1) to a `_UK Solvency II firm_` that is not a `_small firm for external audit purposes_` ;
2. (2) to the `_Society_` in accordance with General Application 3; and
3. (3) at the level of a `_group_` , that is not a `_small group for external audit purposes_` , to which Group Supervision 2.1(1) or 2.1(2) applies and where the `_PRA_` is the group supervisor, to a `_relevant insurance group undertaking_` ; and
4. (4) to an external auditor of such a `_firm_` or `_group_`.

1.2

This Part applies to a `_firm_` or a `_relevant insurance group undertaking_` , as the case may be, in respect of financial years ending on or after 15 November 2016.

1.3

In this Part, the following definitions shall apply:

corporate pensions business

means one or more pension schemes managed by an insurer on behalf of an employer and for which liabilities are calculated by the insurer only at scheme level.

general insurance best estimate liability

means:

1. (1) the sum of items entered under row codes R0370, R0380, R0410 and R0420, column code C0180, of template IR.17.01.01 set out in the Reporting Part; plus
2. (2) the item entered under row code R0030, column code C0040, of template IR.12.01.01 set out in the Reporting Part,

in each case as required to be reported to the `_PRA_` for the relevant financial year end.

general insurance gross written premium

means the total of items entered under row code R0110, as expressed in column code C0015 where this column is completed for those row codes, of template IR.05.04.01 set out in the Reporting Part, in each case as required to be reported to the `_PRA_` for the relevant financial year end.

life insurance best estimate liability

means:

1. (1) the item entered under row code R0030, column code C0070 of template IR.12.01.01 set out in the Reporting Part; minus
2. (2) the item entered under row code R0030, column code C0040 of template IR.12.01.01 set out in the Reporting Part; minus
3. (3) _corporate pensions business_ reported under column code C0180 of template IR.14.01.01, set out in the Reporting Part,

in each case as required to be reported to the _PRA_ for the relevant financial year end.

life insurance gross written premium

means:

1. (1) the item entered under row code R0030, column code C0070 of template IR.05.03.01 set out in the Reporting Part; minus
2. (2) _corporate pensions business_ under column code C0060 of template IR.14.01.01 set out in the Reporting Part,

in each case as required to be reported to the _PRA_ for the relevant financial year end.

relevant elements of the SFCR

means the templates and information in 2.2

score

means for the relevant financial year end the sum of the following:

1. (1) general insurance gross written premium $\times (6.71 \times 10^{-7})$;
2. (2) general insurance best estimate liability $\times (3.97 \times 10^{-8})$;
3. (3) life insurance gross written premium $\times (3.11 \times 10^{-7})$; and
4. (4) life insurance best estimate liability $\times (1.18 \times 10^{-8})$,

1. where:

1. (a) each of the four components to the calculation of score is floored at a zero value, such that where any calculation at (1) to (4) produces a negative number, that number shall be substituted with a zero; and
2. (b) general insurance gross written premium, general insurance best estimate liability, life insurance gross written premium and life insurance best estimate liability are all expressed in pounds sterling. Where a firm reports in a currency other than pounds sterling, this means the relevant reported figures converted into pounds sterling using the daily spot exchange rate as published on the Bank of England website applicable on the ?as at date? of the reporting.

small firm for external audit purposes

1. (1) For the purposes of external audit of a SFCR relating to a financial year ending on or after 15 November 2018 but before 15 November 2019, means a UK Solvency II firm where its score is less than 100.
2. (2) For the purposes of external audit of a SFCR relating to a financial year ending on or after 15 November 2019, means a UK Solvency II firm where:
 1. (a) its score is less than 100 for its two most recent financial year ends; or

2. (b) its score is greater than 100, if the financial year end to which the score relates immediately follows a financial year end in which that UK Solvency II firm met the condition in (2)(a).

small group for external audit purposes

means a group in which every UK Solvency II firm in the group is a small firm for external audit purposes.

2

External Audit of Relevant Elements of the SFCR

2.1

A _firm_ or a _relevant insurance group undertaking_ must ensure that the external auditor provides a report which includes an opinion about the _relevant elements of the SFCR_ in accordance with 4.

2.2

The _relevant elements of the SFCR_ are:

1. (1) Subject to (3), (4) and 4.2, the information that a _firm_ and a _group_ discloses pursuant to Reporting 3.3(5)(d), 3.4, 3.4A, 3.5A, 3.5B, 3.6B, 3.7A to 3.7C, and Articles 7A(1)(d) and Articles 7A(1)(e) of Chapter 3A of the Reporting Part of the PRA Rulebook;
2. (2) Subject to (3), (4) and 4.2 and where appropriate, the following templates that are provided in the Reporting Part;
 1. (a) IR.02.01.02
 2. (b) IR.12.01.02
 3. (c) IR.17.01.02
 4. (d) IR.22.01.21
 5. (e) IR.22.01.22
 6. (f) IR.23.01.01
 7. (g) IR.23.01.04
 8. (h) IR.25.04.21
 9. (i) IR.25.04.22
 10. (j) IR.28.01.01
 11. (k) IR.28.02.01
 12. (l) IR.32.01.22
3. (3) Where the information in 2.2(1) and 2.2(2) is, or derives from, the _SCR_ that information shall only be subject to external audit for _firms_ calculating their _SCR_ using the _standard formula_.
4. (4) Where the information in 2.2(1) and 2.2(2) is, or derives from, the _group SCR_ that information shall only be subject to external audit for _relevant insurance group undertakings_ calculating their _group SCR_ using the _standard formula_.

3

Appointment of Auditors

3.1

A _firm_ or a _relevant insurance group undertaking_ must:

1. (1) appoint an external auditor in accordance with Auditors 2, 3 and 4 to perform the functions in 2; and

2. (2) submit the report to the _PRA_ and disclose it publicly with the _firm?s_ _SFCR_.

4

Duties on the External Auditor

4.1

Subject to 4.2, an external auditor appointed by a _firm_ or _relevant insurance group undertaking_ pursuant to 3 must:

1. (1) undertake a reasonable assurance engagement on _relevant elements of the SFCR_ ;
2. (2) produce a report that includes an opinion addressed to the _governing body_ confirming that the _relevant elements of the SFCR_ are prepared in all material respects in accordance with the _PRA_ rules on which it is based;
3. (3) read and consider all information disclosed by the _firm_ in its _SFCR_ that is not a _relevant element of the SFCR_ to identify material inconsistencies with the _relevant elements of the SFCR_ and any knowledge obtained during the course of the audit of the _SFCR_ engagement and (where applicable) audit of the financial statements.

4.2

Where the _relevant elements of the SFCR_ in a _group_ _SFCR_ that:

1. (1) pertains to an _undertaking_ that is not a _UK Solvency II firm_ ; and
2. (2) information has been prepared in accordance with:
 1. (a) _PRA_ rules other than the Reporting Part; or
 2. (b) _UK_ law other than law deriving from FSMA that applies to _UK Solvency II firms_ ,

the external auditor shall state in the report under 4.1(2) that the information has been properly compiled in accordance with the relevant _PRA_ rules and _UK_ law relating to that _undertaking_ from information provided by _undertakings_ in the _group_ and the _relevant insurance group undertaking_.

4.3

The Report in 4 must be prepared with due, skill, care and diligence.